

Retail Sector Performance Across Australian States: Identifying Growth Industries in the Post-Pandemic Era (2020–2025)

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1 Executive Summary

2 Introduction

The Australian retail industry plays an important role in the national economy through its contribution to employment, household consumption, and overall economic activity. Retail performance is also closely linked to changes in consumer confidence and broader economic conditions across Australian states and industries.

The COVID-19 pandemic caused substantial disruption to the Australian retail sector due to lockdowns, mobility restrictions, and changing consumer behaviour. While some retail industries experienced significant declines during the pandemic, others benefited from increased household spending and shifts toward home-based consumption.

Understanding post-pandemic retail recovery is important because recovery patterns were uneven across both states and retail industries. Differences in reopening policies, labour market conditions, inflation, and consumer preferences contributed to varying levels of retail growth between 2020 and 2025.

This report investigates which Australian states and retail industries contributed most strongly to post-pandemic retail recovery between 2020 and 2025. Using seasonally adjusted retail turnover data published by the Australian Bureau of Statistics, the report examines variation in retail performance across regions and industries during the recovery period.

The remainder of this report is structured as follows. The methodology section describes the data preparation and analytical approach, followed by the results section presenting key findings and visualisations. The final section discusses the implications of the results and provides concluding remarks and recommendations.

3 Methodology

Monthly retail turnover data were obtained from the Australian Bureau of Statistics (ABS) Retail Trade, Australia release (Cat. No. 8501.0, Table 12), which tracks seasonally adjusted turnover figures broken down by state and industry subgroup. This publication is updated monthly and freely accessible via abs.gov.au, with the current release extending through May 2025, making it a reliable source for examining recent retail trends across Australia.

The dataset captures turnover in millions of Australian dollars across all eight states and territories — New South Wales, Victoria, Queensland, South Australia, Western Australia, Tasmania, the Northern Territory, and the Australian Capital Territory — and spans thirteen retail industry subgroups, ranging from supermarkets and grocery stores to cafes, clothing retailers, and household goods outlets. Given the study’s focus on post-pandemic recovery, only observations from January 2020 onward were retained, providing a window that encompasses both the acute disruption phase of COVID-19 and the subsequent recovery period through to May 2025.

The raw data arrived in wide format, with each column encoding a distinct state-industry combination. Column labels were extracted from the first row and reassigned before the table was pivoted into long format via the tidyverse package in R; state and industry identifiers were then isolated from the original series strings using the `separate()` function. National aggregate rows and records with missing values were excluded to ensure the analysis reflected state-level patterns only. Industry labels were also simplified where necessary to improve readability.

All visualisations were produced using `ggplot2` and tables were rendered with `knitr`. Table 1 lists the ten state-industry combinations with the highest average monthly turnover, offering a snapshot of which segments consistently dominated retail activity. Figure 1 traces how turnover evolved across three key industry subgroups between 2020 and 2025, highlighting divergent recovery trajectories in the post-pandemic period.

Table 1: Top 10 state-industry combinations by average monthly retail turnover, 2020–2025 (AUD millions, seasonally adjusted)

State	Industry	Average Turnover (\$M)
Victoria	Supermarket and grocery stores	10478.6
Queensland	Supermarket and grocery stores	8554.2
South Australia	Supermarket and grocery stores	6937.8
New South Wales	Furniture and houseware retailing	4102.1
Tasmania	Supermarket and grocery stores	3758.1
Victoria	Furniture and houseware retailing	3356.2
New South Wales	Liquor retailing	3338.0
Queensland	Furniture and houseware retailing	2915.5
Victoria	Liquor retailing	2776.3
Queensland	Liquor retailing	2397.3

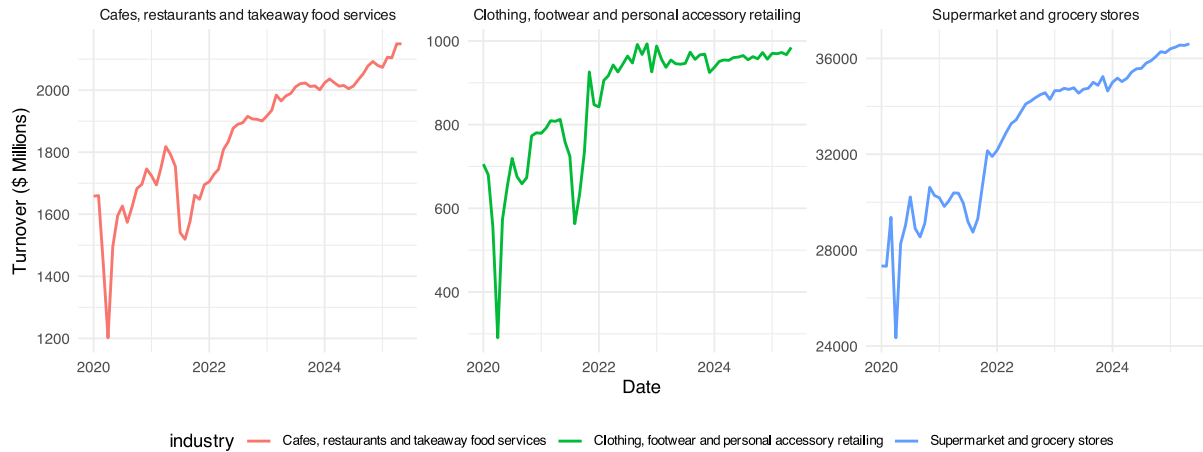


Figure 1: Monthly retail turnover across selected industries in Australia, January 2020 to May 2025 (seasonally adjusted, AUD millions)

4 Results

5 Discussion and Conclusion

6 References

Bibliography